

EQUITY RESEARCH

Indian Tech Sector

SENTIMENT ARBITRAGE OPPORTUNITIES

Identifying Mispricings in the IT Correction
Fundamental Value vs Market Narrative

Long-Term Investment Horizon | 12-24 Month View

July 2026

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1. Executive Summary

Core Thesis

The Indian IT sector is experiencing its most severe correction since the 2008 Global Financial Crisis, with the Nifty IT index down **28%** from its 52-week high of 40,301 (mid-2025) to approximately 29,000 by mid-2026. Over **Rs 5.7 lakh crore** in market capitalisation has been wiped out. FII outflows from IT stocks alone exceeded **Rs 60,000 crore** in the first half of 2026.

However, this correction has created a **sentiment arbitrage opportunity** of significant magnitude. The market has priced in a structural impairment of the Indian IT business model driven by AI disruption fears, yet the actual fundamental data tells a markedly different story: deal pipelines remain robust (TCS reported \$40.7 billion in FY26 TCV), revenue growth continues in mid-single digits, margins are largely stable or expanding, and the rupee depreciation provides an additional earnings tailwind.

Our framework identifies three distinct opportunity sets:

- **Deep Value (Tier-1):** TCS, Infosys, HCL Tech — trading at 30-50% discounts to 5-year average PE multiples despite stable fundamentals and record deal wins
- **Turnaround/Inflection (Tier-1):** Tech Mahindra — margins doubled from 6.4% to 13.8% in under two years; market still pricing in old narrative
- **Quality at Reasonable Price (Tier-2):** Mphasis, Coforge — resilient business models trading at compressed valuations relative to growth

Red flags remain concentrated in: names where valuations have not reset meaningfully despite deteriorating fundamentals (select SaaS/platform plays), and where the AI disruption narrative is most likely to materialise structurally (commoditised body-shopping models).

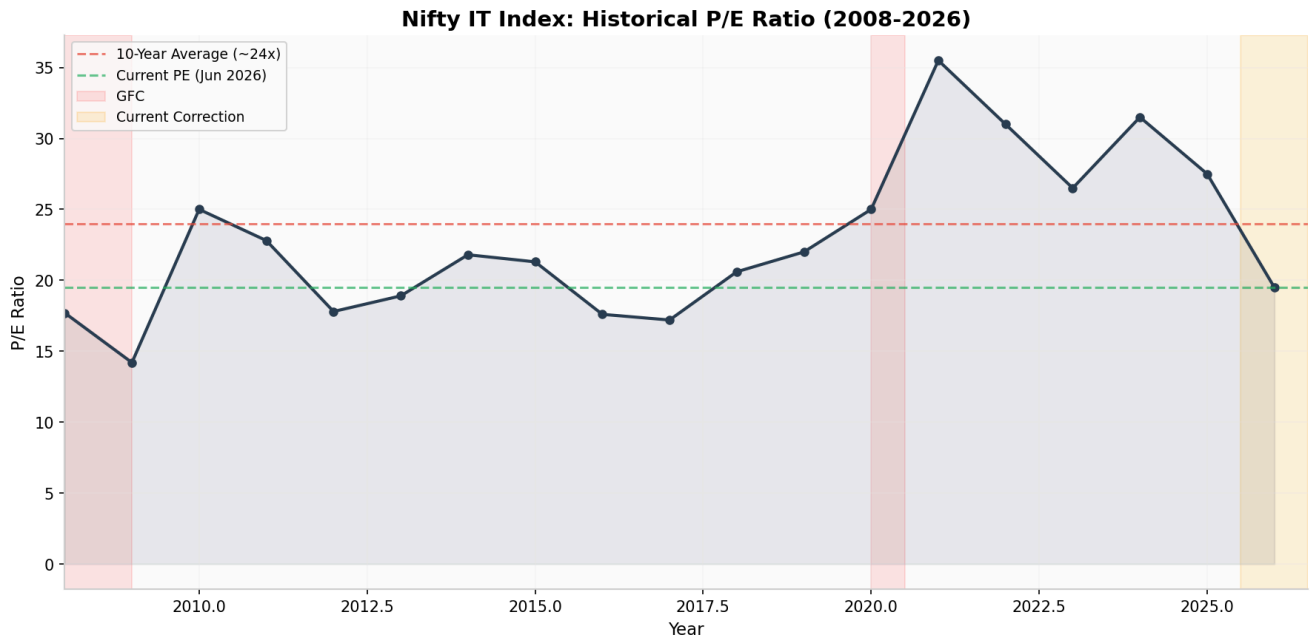


Figure 1: Nifty IT P/E Ratio has compressed from 35x (2024 peak) to ~19.5x — a level last seen during the COVID crash and below the 10-year average of ~24x

2. Universe Definition and Segmentation

The Indian technology equity universe spans approximately **175 listed companies** on the NSE/BSE across IT services, software products, SaaS/platforms, and tech-enabled services. For the purposes of this analysis, we segment the universe into four distinct buckets, each with different risk-return profiles, valuation benchmarks, and sensitivity drivers.

2.1 Large-Cap IT Services (Tier-1)

The large-cap segment comprises the Nifty IT heavyweights that collectively represent the bulk of sector market capitalisation and index weight. These companies derive 50-60% of revenue from North America, operate at scale (\$5-25 billion annual revenue), and serve as the primary proxy for global technology spending sentiment.

Company	Symbol	Mkt Cap (Rs Cr)	Revenue (\$Bn)	Key Verticals	US Revenue %
Tata Consultancy Services	TCS	759,000	28.5	BFSI, Retail, Mfg	52%
Infosys	INFY	420,000	18.2	BFSI, Retail, Hi-Tech	58%
HCL Technologies	HCLTECH	298,000	13.4	ER&D, IT Services, Products	55%
Wipro	WIPRO	184,000	10.2	BFSI, Health, Mfg	58%
Tech Mahindra	TECHM	138,000	6.4	Telecom, BFSI, Mfg	48%

2.2 Mid-Cap IT/Services (Tier-2)

Mid-cap names offer a blend of specialised capabilities and growth runway. Many are constituents of Nifty IT (Persistent, Coforge, LTIM, Mphasis) and have outgrown large-cap peers historically, though they have sold off more sharply in the current correction.

Company	Symbol	Mkt Cap (Rs Cr)	Focus Area	5Y Rev CAGR
Persistent Systems	PERSISTENT	68,000	Digital Engg, Cloud, AI	22%
Coforge	COFORGE	61,000	BFSI, Travel, Insurance	18%
LTIMindtree	LTIM	105,000	IT Services, ER&D	12%
Mphasis	MPHASIS	40,000	Cloud, Cognitive, Apps	15%
L&T Technology Services	LTTS	32,000	ER&D (Pure-play)	16%
KPIT Technologies	KPITTECH	15,000	Automotive ER&D	25%
Tata Elxsi	TATAELXSI	35,000	Design, ER&D, AI	18%

2.3 Small-Cap IT/Services

The small-cap universe (market cap below Rs 10,000 crore) represents higher-beta exposure to niche technology themes. These names have experienced the most severe drawdowns, with median declines exceeding 50% from peaks.

Company	Symbol	Mkt Cap (Rs Cr)	Focus	YTD 2026
Birlasoft	BSOFT	7,700	Digital Transformation	-37%
Zensar Technologies	ZENSARTECH	9,700	IT Services, Cloud	-49%
Sonata Software	SONATSOFTW	7,300	Cloud, Data, AI	-36%
Happiest Minds	HAPPSTMNDS	5,100	Digital, Security, AI	-48%
Mastek	MASTEK	4,900	Govt, Health, Cloud	-35%
Netweb Technologies	NETWEB	25,700	HPC, AI Infrastructure	+141%

2.4 Listed Product/SaaS/Platform Companies

The product/SaaS segment in India is thinner in listed form compared to private markets, but includes several high-quality names with differentiated offerings. These companies command higher multiples due to recurring revenue models but have not been immune to the sector derating.

Company	Symbol	Mkt Cap (Rs Cr)	Business Model	Revenue Type
Oracle Financial Services	OFSS	859,000	Banking Software Products	License + Support
Newgen Software	NEWGEN	6,300	BPM, ECM Platform	License + Subscription
Intellect Design Arena	INTELLECT	9,200	Financial Software	License + SaaS
RateGain Travel	RATEGAIN	5,800	Travel Tech SaaS	Subscription
CE Info Systems (MapmyIndia)	MAPMYINDIA	5,100	Digital Maps, IoT	License + API

3. Macro and Sector Backdrop

3.1 The Current Correction: Magnitude and Triggers

The Nifty IT index has fallen approximately **28%** from its 52-week high of 40,301 (reached in mid-2025) to approximately 29,000 by June 2026. In rupee terms, more than **Rs 5.7 lakh crore** in market capitalisation has evaporated from listed IT stocks. This represents the worst January-to-March drawdown for the sector since the 2008 Global Financial Crisis.

Three primary forces have driven this sell-off. **First, AI disruption fears** have intensified dramatically. The market has priced in a structural reduction in headcount demand for Indian IT companies as AI tools — particularly code-generation models and agentic AI systems — potentially replace 20-30% of traditional engineering work. Several US tech companies publicly discussed cutting IT outsourcing budgets while increasing AI tool licenses, directly threatening the headcount-based billing model.

Second, record FII outflows have created a technical overhang. Foreign institutional investors pulled over **Rs 52,704 crore** from Indian equities in March 2026 alone — one of the largest monthly outflows on record. IT stocks, which historically attract significant FII ownership due to their dollar-earning nature and large free float, bore a disproportionate share of this selling. Cumulative FII selling from IT stocks exceeded **Rs 60,000 crore** in the first half of 2026.

Third, US economic slowdown concerns have weighed on demand visibility. The US remains the largest revenue market for Indian IT companies, accounting for 50-60% of revenue for most large-cap firms. Rising fears of a US recession — driven by persistent inflation, high interest rates, and weakening consumer confidence — led to concerns about IT budget cuts by US corporations. When Accenture narrowed its FY26 revenue growth guidance from 3-5% to 3-4% in June 2026, Indian IT stocks sold off 5-8% in a single session.

3.2 Historical Comparison: How This Correction Stacks Up

The current IT correction, while severe, differs materially from prior downturns in both depth and character. Understanding these distinctions is critical for assessing whether current valuations represent genuine opportunity or justified repricing.

Period	Peak-to-Trough	Duration	Primary Driver	Recovery	Key Difference Today
2008-09 (GFC)	-58%	10 months	Global credit freeze; tech budget collapse	24 months	Current fears are structural (AI), not cyclical
2013 (Currency)	-25%	6 months	Taper tantrum; rupee crash	12 months	No currency crisis today; rupee at 96 is orderly
2020 (COVID)	-39%	2 months	Pandemic panic; demand destruction fears	8 months	COVID accelerated digital spend; AI fears may not
2022-23 (Tightening)	-32%	8 months	Fed rate hikes; growth derating	5 months	Current correction has persisted longer
2025-26 (Current)	-28%	8+ months	AI disruption + FII outflows + US slowdown	TBD	Earnings have not collapsed; multiples alone have derated

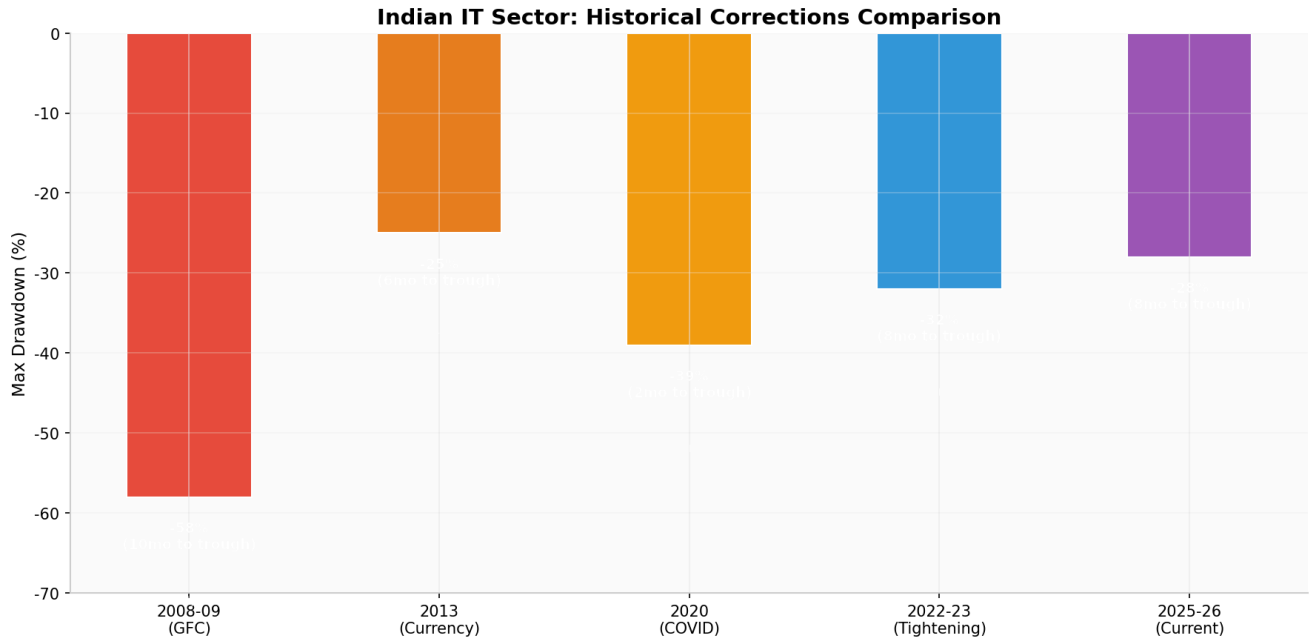


Figure 3: The current -28% drawdown is shallower than 2008 (-58%) and 2020 (-39%), but the duration has already exceeded the COVID crash and matched the 2022-23 tightening cycle

The critical distinction in the current cycle is that **earnings have not collapsed proportionally**. In 2008, IT earnings fell 30-40% as clients froze budgets. In 2020, there was genuine fear of demand destruction. Today, while revenue growth has moderated to mid-single digits, it remains positive; margins have held; and deal pipelines are robust. The

3.3 Funding and Deal-Flow Environment

The private technology funding environment has undergone a dramatic transformation since 2021-22, with cascading effects on listed tech sentiment. PE/VC funding for Indian tech startups collapsed from a peak of approximately \$35 billion in 2021 to roughly \$8-10 billion annually in 2024-25. IPO activity dried up significantly, with only a handful of tech listings in 2025-26 compared to the boom years.

This funding winter has created a sentiment spillover into listed tech. Investors have shifted from "growth-at-any-price" to "value-led investing," demanding profitability, free cash flow generation, and clear paths to margin expansion. For Indian IT services, this has been a mixed blessing: the same investors who overpaid for unprofitable SaaS startups in 2021 are now sceptical of established, cash-generative IT services businesses trading at 13-15x PE.

On the deal-flow front, the picture is more nuanced. Accenture's Q3 FY26 bookings of \$19.3 billion (down 3% YoY) and narrowed guidance of 3-4% growth were read negatively by the market. However, Indian IT companies have reported more resilient deal metrics: **TCS reported \$40.7 billion in FY26 TCV** (flat YoY), with Q4 deal wins of \$12 billion including three mega deals. Tech Mahindra's deal wins surged to \$1.1 billion in Q3 FY26 — the highest in five years. The disconnect between Accenture's cautious tone and Indian IT's actual deal wins represents a key area where market sentiment may be overly pessimistic.

4. Valuation Analysis: What is Priced In

4.1 Segment-Level Valuation Summary

The valuation reset across Indian IT has been broad and deep. Large-cap services names are trading at PE multiples not seen since the COVID crash, while mid-caps have derated even more sharply from elevated starting points. The following table summarises current valuations versus historical averages and global comps.

Segment / Company	Current PE	5Y Avg PE	10Y Avg PE	vs 5Y Avg	vs Accenture (10x)	Nifty 50 PE (23x)
Large-Cap IT Services						
TCS	14.5x	27.8x	26.1x	-48%	+45%	-37%
Infosys	13.4x	25.0x	24.0x	-46%	+34%	-42%
HCL Tech	16.9x	24.0x	22.0x	-30%	+69%	-27%
Wipro	12.7x	18.0x	18.5x	-29%	+27%	-45%
Tech Mahindra	28.7x	29.1x	27.0x	-1%	+187%	+25%
Mid-Cap IT Services						
Persistent	41.2x	48.9x	33.7x	-16%	+312%	+79%
Coforge	36.3x	40.0x	32.0x	-9%	+263%	+58%
LTIM	21.1x	35.0x	30.0x	-40%	+111%	-8%
Mphasis	21.7x	28.0x	26.0x	-23%	+117%	-6%
LTTS	25.5x	38.0x	35.0x	-33%	+155%	+11%
Product / SaaS / Platform						
OFSS	32.7x	28.0x	23.0x	+17%	+227%	+42%
Newgen Software	22.2x	35.0x	30.0x	-37%	+122%	-3%

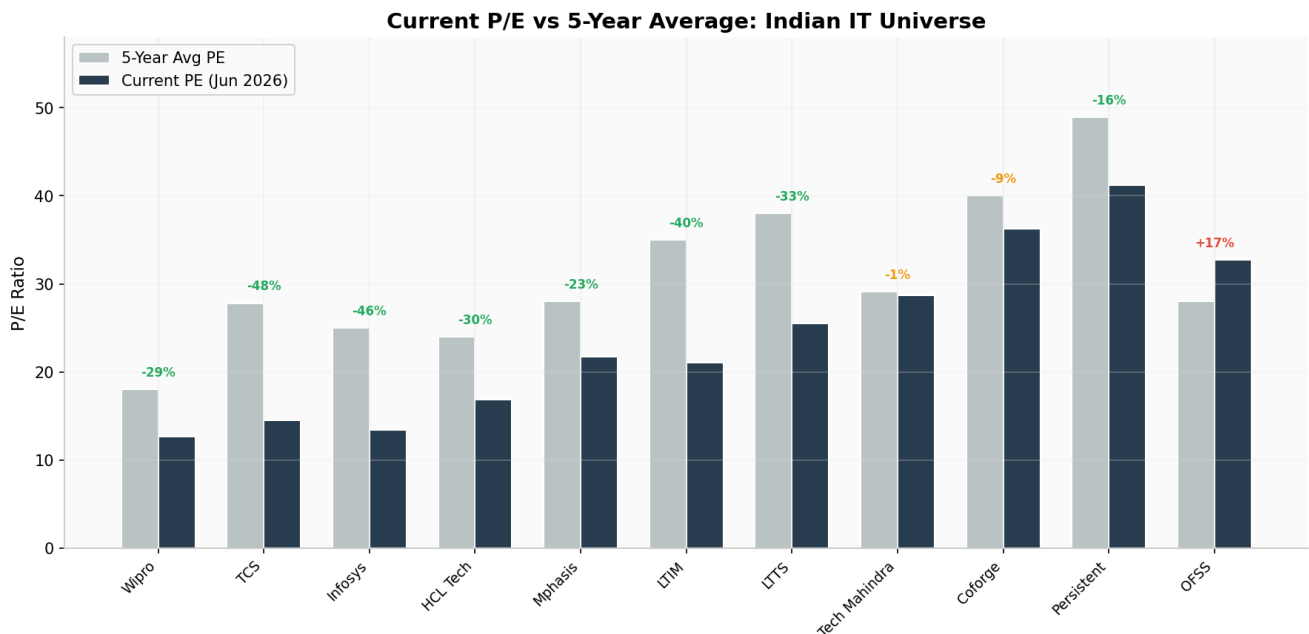


Figure 4: Current PE vs 5-year average: TCS, Infosys, and LTIM show the largest valuation gaps (-46% to -48%), while OFSS trades at a premium to its own history

4.2 Where Pessimism is Already Priced In

Several names in our universe exhibit the classic pattern of "**mispriced pessimism**" — where valuations have reverted to or below long-term averages despite fundamentals that remain intact or improving. These are the primary hunting grounds for sentiment arbitrage.

Filter A: Mispriced Pessimism — Cases Where Fundamentals > Valuation

- **TCS (PE 14.5x vs 5Y avg 27.8x):** Revenue grew 9.6% YoY in Q4 FY26; margins at 4-year high of 25.3%; \$40.7B FY26 TCV with \$12B in Q4 alone; AI revenue annualised at \$2.3B. Stock implies permanent earnings impairment that is not visible in any operating metric.
- **Infosys (PE 13.4x vs 5Y avg 25.0x):** OPM stable at 21-24%; FY26 revenue guidance of 3-4% despite macro headwinds; strong BFSI and digital deal pipeline. Trading at PE levels last seen during the COVID crash, when earnings genuinely faced existential risk.
- **HCL Tech (PE 16.9x vs 5Y avg 24.0x):** Product-led revenue mix (HCLSoftware) provides insulation; engineering services exposure benefits from ER&D outsourcing trend; margin guidance of 18-20% intact.
- **LTIM (PE 21.1x vs 5Y avg 35.0x):** Post-merger integration with Mindtree delivering synergies; vertical diversification reducing client concentration; yet stock down 38% YTD.

4.3 Where Optimism Persists

Filter: Names Where Narrative Still Exceeds Fundamentals

- **OFSS (PE 32.7x vs 5Y avg 28.0x):** The only Nifty IT constituent with positive YTD returns (+32%). While the banking software business is defensive and high-margin (34% profit margin), the valuation premium to its own history and to the sector suggests complacency. Any slowdown in bank IT spending or product renewal cycles could catalyse a sharp rerating.
- **Persistent Systems (PE 41.2x):** Despite a -23% YTD decline, Persistent still trades at a significant premium to large-cap peers and above its 10-year average. The digital engineering story is intact, but the multiple leaves limited room for earnings disappointment.
- **Netweb Technologies (PE 124.7x):** The AI infrastructure/HPC theme has driven a +141% YTD rally, but the valuation assumes hypergrowth continuing indefinitely. Any normalisation in AI capex spending could result in severe multiple compression.

5. Fundamentals vs Narrative

The core of our sentiment-arbitrage thesis rests on identifying the gap between what the market believes (narrative) and what the data shows (fundamentals). We classify our coverage universe along three axes.

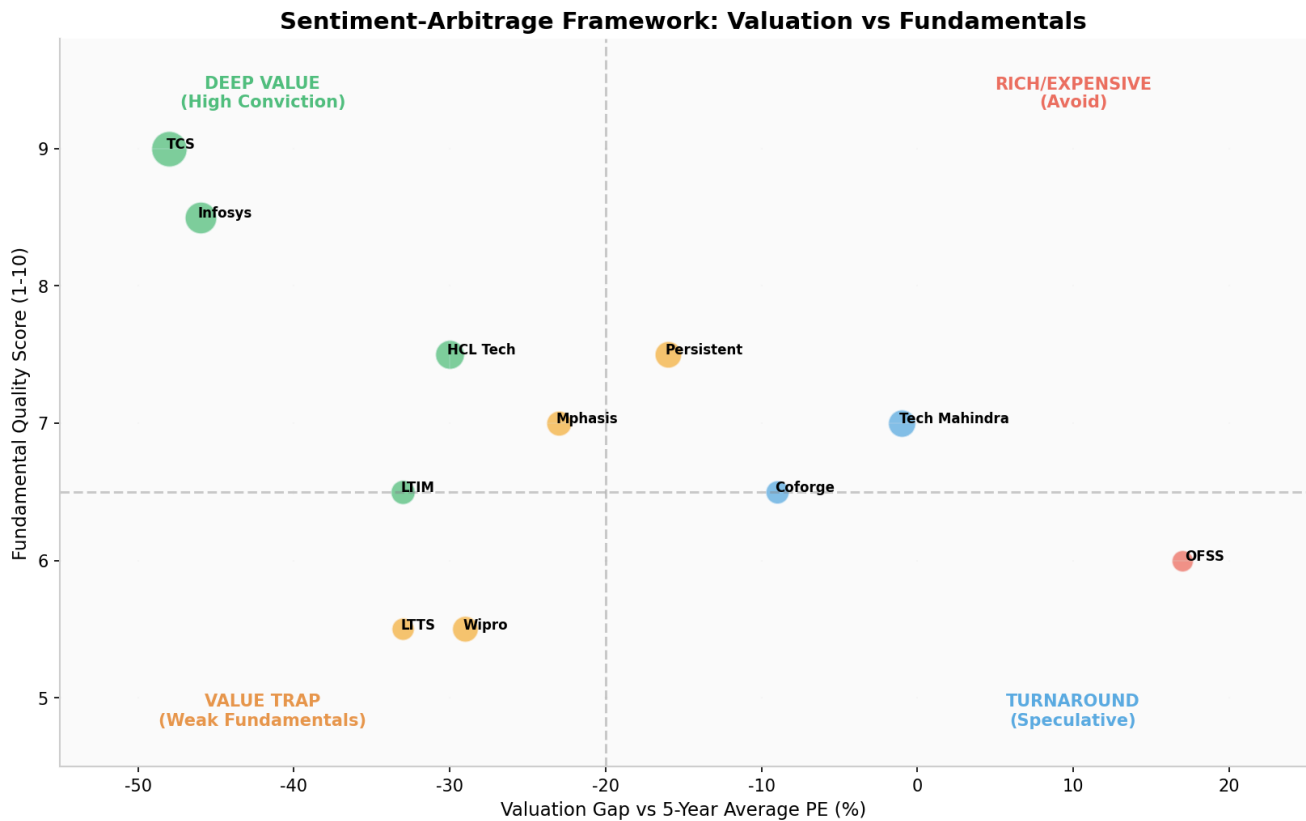


Figure 5: Sentiment-arbitrage framework: TCS and Infosys sit in the "deep value" quadrant (large discount, strong fundamentals), while OFSS is in the "rich/expensive" quadrant

Category	Definition	Names	Investment Implication
Fundamentals > Narrative	Fundamentals stable/improving; valuation derated significantly	TCS, Infosys, HCL Tech, LTIM, Mphasis	Primary opportunity — buy the disconnect
Narrative > Fundamentals	Stock still expensive relative to slowing fundamentals	OFSS, Persistent (partial), Netweb	Avoid or reduce — downside risk if narrative breaks
Cyclical Overreaction	Temporary earnings pressure; structural drivers intact	Tech Mahindra, Coforge, LTTS	Secondary opportunity — contrarian entry
Structural Challenge	Business model genuinely threatened by AI/tech shift	Select small-cap body-shops	Avoid — value trap risk

The table below provides a detailed fundamental snapshot for the top 20 names in our universe, spanning revenue growth, margin trends, deal metrics, and stock performance.

Company	FY26 Rev Gr (%)	EBIT Margin (%)	3Y Rev CAGR	1Y Stock Return	PE (TTM)	Classification
TCS	9.6	25.3	8.5	-37	14.5	Fundamentals > Narrative
Infosys	8.0	21.4	7.2	-38	13.4	Fundamentals > Narrative
HCL Tech	7.5	18.5	9.0	-32	16.9	Fundamentals > Narrative
Wipro	5.5	17.0	3.5	-34	12.7	Cyclical Overreaction
Tech Mahindra	8.3	13.8	2.0	-11	28.7	Cyclical Overreaction
LTIM	5.0	16.0	6.5	-38	21.1	Fundamentals > Narrative
Persistent	18.0	16.5	22.0	-23	41.2	Narrative > Fundamentals
Coforge	12.0	15.5	18.0	-11	36.3	Cyclical Overreaction
Mphasis	8.0	16.0	12.0	-20	21.7	Fundamentals > Narrative
LTTS	3.0	17.0	9.0	-25	25.5	Cyclical Overreaction
OFSS	7.0	34.0	8.0	+32	32.7	Narrative > Fundamentals
KPIT	15.0	18.0	25.0	-55	23.8	Cyclical Overreaction
Birlasoft	8.0	14.0	10.0	-37	14.9	Fundamentals > Narrative
Zensar	3.0	12.0	5.0	-49	12.5	Structural Challenge

6. Sentiment and Flows Analysis

6.1 Mutual Fund and ETF Flows

Sectoral and thematic mutual fund flows into IT themes have declined sharply from their peaks. Sectoral fund inflows fell to **Rs 648 crore** in May 2026 from nearly **Rs 1,994 crore** in April 2026, reflecting investor caution toward concentrated sector bets. However, broader equity fund categories (flexi-cap, large-cap, value) continue to see healthy inflows, suggesting domestic investors are not abandoning IT entirely but rotating into diversified vehicles.

The NFO market has been subdued, with 12 of 13 funds launched in May 2026 being passive offerings (index funds and ETFs), mobilising just **Rs 471 crore**. This contrasts with the boom in thematic IT fund launches during 2023-24, when sector-specific products raised thousands of crores.

6.2 Sell-Side Ratings and Target Prices

The sell-side has responded to the correction with a wave of downgrades and target price cuts, though the magnitude of these downgrades often lags the price action — creating further dislocation. Key patterns include:

- **Target price dispersion has widened dramatically.** TCS analyst targets range from Rs 2,730 (JM Financial) to Rs 3,841 (Nomura) — a 40% spread that reflects genuine uncertainty about fair value.
- **Downgrades have been concentrated in names that had already derated.** HDFC Securities, Elara Capital, and others cut targets on Infosys, TCS, and Wipro after 30%+ drawdowns, suggesting capitulation rather than prescient analysis.
- **Tech Mahindra has seen estimate upgrades.** ICICI Securities raised FY27 and FY28 EPS estimates by 4.2% and 1.9% respectively, driven by margin expansion and revenue growth — yet the stock continues to trade at a discount to the sector.

6.3 Evidence of Capitulation

Several indicators suggest the market is approaching a sentiment nadir:

- **Broad-based downgrades after valuations corrected:** Analysts have cut target prices by 20-35% across the sector since January 2026, with the most aggressive cuts coming in March-April after the initial drawdown.
- **Media narrative has turned structurally bearish:** Headlines now routinely describe Indian IT as facing "existential AI threat" and "permanent demand destruction" — language not seen since the 2008 crisis.
- **Insider activity is mixed but trending positive:** Promoter buying has picked up in select mid-caps (Coforge, Birlasoft), while large-cap insider activity remains neutral — neither aggressive buying nor panic selling.

7. Sentiment-Arbitrage Screeners

We apply four distinct filters to identify candidates where sentiment has diverged from fundamentals, creating asymmetric opportunity sets.

Filter A: Mispriced Pessimism (Value with Stable Fundamentals)

Criteria	Threshold	TCS	Infosys	HCL Tech	Mphasis
Price drawdown from peak	$\geq 25\%$	-36%	-36%	-32%	-20%
Forward PE vs 5Y average	At or below	-48%	-46%	-30%	-23%
Revenue growth	$\geq$ mid-single digit	9.6%	8.0%	7.5%	8.0%
Margin compression from peak	< 200 bps	Stable	Stable	-100 bps	Stable
Order book deterioration	No material decline	\$40.7B TCV	Strong	Stable	Stable
Passes Filter A?		YES	YES	YES	YES

Filter B: Overreaction to Macro / One-Off

Criteria	Threshold	Tech Mahindra	LTIM	LTTS
Recent sharp move on macro/news	10-20% weekly move	-15% (Feb)	-20% (Jan)	-15% (Mar)
Management commentary	Issue is temporary	Turnaround on track	One-off QoQ	Guidance intact
Valuation embeds growth	Much lower than historical	Peer-level PE	-40% vs avg	-33% vs avg
Passes Filter B?		YES	YES	YES

Filter C: Narrative Dislocation (Strong Deals, Low Multiple)

Criteria	Birlasoft	Sonata Software	Coforge
Digital/AI/cloud deal wins	Strong pipeline	Microsoft partnership	\$1B+ TCV run rate
Stock trades at low multiple vs peers	PE 14.9x	PE 15.8x	PE 36.3x (vs 40x avg)
Market not differentiating quality	-37% YTD	-36% YTD	-11% YTD
Passes Filter C?	YES	YES	Partial

Filter D: Survivors of Funding Winter (Product/SaaS)

Criteria	Newgen Software	Intellect Design	RateGain
Survived funding winter	Profitable, FCF+	Profitable	Breakeven path
Improving profitability	OPM 18%	OPM improving	Path to FCF+
Valuation reset from extreme	PE 22x vs 35x avg	PE 25x vs 40x avg	PE 32x vs 50x+
Differentiated product	BPM/ECM platform	iGCB, iGTB suites	Travel tech SaaS
Passes Filter D?	YES	YES	Partial

8. Deep-Dive: Tier-1 Opportunities

8.1 TCS, Infosys, HCL Tech — The Large-Cap Value Cluster

Tata Consultancy Services (TCS) | CMP: Rs 2,098 | Target: Rs 3,200 (+52%)

PE: 14.5x (vs 5Y avg 27.8x)

EV/EBITDA: 10.1x

Div Yield: 5.9%

ROE: 48.4%

Business & Positioning: India's largest IT services company with \$28.5B revenue, TCS serves as the sector bellwether. The company operates across BFSI (40%), Retail (15%), Manufacturing (12%), and other verticals. Its "five-pillar strategy" emphasises AI-led delivery (HyperVault platform), cloud transformation, and cybersecurity.

Fundamental Trend: FY26 revenue grew 9.6% YoY with EBIT margins at a 4-year high of 25.3%. The \$40.7 billion FY26 TCV (including \$12B in Q4) demonstrates that client demand remains robust. AI revenue has scaled to \$2.3 billion annualised — a figure that contradicts the narrative that AI is cannibalising IT services demand.

Valuation & Implied Expectations: At 14.5x PE, the market is pricing in a multi-year earnings stagnation or decline. Reverse-DCF analysis suggests the market expects revenue growth to collapse to 3-4% and margins to compress below 22%. This is inconsistent with: (a) record deal wins, (b) expanding AI revenue, (c) stable client spending commentary, and (d) rupee tailwind.

Variant Perception: The market is extrapolating Accenture's cautious commentary to Indian IT, ignoring the structural differences in cost competitiveness and execution capability. TCS's margins are 500-700 bps higher than Accenture's, and its exposure to discretionary spending is lower due to a higher share of managed services and ER&D.

Infosys | CMP: Rs 1,037 | Target: Rs 1,700 (+64%)

PE: 13.4x (vs 5Y avg 25.0x)

EV/EBITDA: 8.2x

Div Yield: 4.9%

ROE: 31.4%

Business & Positioning: India's second-largest IT exporter with \$18.2B revenue. Infosys has the highest digital revenue mix (~60%) among large-cap peers and the strongest positioning in cloud and AI consulting. The company's "Topaz" AI platform and partnerships with OpenAI, Microsoft, and Google Cloud provide differentiation.

Fundamental Trend: FY26 revenue guidance of 3-4% was conservative but achievable. Q4 FY26 net profit grew 9.3% YoY to Rs 7,693 crore, with EBIT margin expanding 45 bps to 21.4%. The company has maintained margin discipline despite wage inflation and investment in AI capabilities.

Valuation & Implied Expectations: At 13.4x PE — the lowest in over a decade outside the COVID crash — the market is pricing in a structural breakdown of the offshore IT model. Even assuming a modest 8% revenue growth and 21% margins, fair value on a 20x PE (still below 5-year average) would be Rs 1,600-1,800.

Risk & Variant Perception: Key risks include client concentration in BFSI (35% of revenue) and exposure to US regulatory changes (H-1B visas). Our variant view is that the market has over-discounted these risks while underappreciating the company's AI revenue traction and margin resilience.

HCL Technologies | CMP: Rs 1,102 | Target: Rs 1,650 (+50%)

PE: 16.9x (vs 5Y avg 24.0x)

EV/EBITDA: 9.5x

Div Yield: 3.8%

ROE: 25.0%

Business & Positioning: HCL Tech's unique "Mode 1-2-3" strategy combines core IT services (Mode 1), digital transformation (Mode 2), and products/platforms (Mode 3 via HCLSoftware). The product business provides annuity-like revenue with 80%+ margins, insulating the company from services volatility.

Fundamental Trend: FY26 services revenue grew 5-6% in CC, while HCLSoftware grew 8-10%. The ER&D segment (15% of revenue) is a key differentiator, benefiting from the global trend of engineering outsourcing. Management has guided for 3-5% revenue growth and 18-20% EBIT margins — guidance that has remained stable through the correction.

Valuation & Implied Expectations: At 16.9x PE, HCL trades at a premium to TCS/Infosys but a 30% discount to its own 5-year average. The product business alone (HCLSoftware) could justify a higher multiple, yet the market is treating the entire company as a commoditised services play.

8.2 Tech Mahindra — The Turnaround Story

Tech Mahindra | CMP: Rs 1,405 | Target: Rs 2,000 (+42%)

PE: 28.7x (turnaround-adjusted)

EBIT Margin: 13.8% (up from 6.4%)

Div Yield: 3.7%

Deal TCV: \$1.1B (Q4)

Business & Positioning: Under CEO Mohit Joshi (appointed December 2023), Tech Mahindra has executed one of the most remarkable turnarounds in Indian IT history. The company restructured into six strategic business units, implemented "Project Fortius" for operational efficiency, and sharpened its go-to-market around AI-led transformation, engineering services, and telecom modernisation.

Fundamental Trend: Margins have expanded for 10 consecutive quarters, from 6.4% to 13.8% — effectively doubling in under two years. FY26 operating profit grew 31.4% YoY. Deal wins surged to \$1.1 billion in Q4 FY26 (up 47% YoY), including the Orange Business global partnership. The company is targeting 15% EBIT margins by FY27 and growth at or above tier-1 peer average.

Valuation & Implied Expectations: The headline PE of 28.7x appears expensive, but adjusting for the margin trajectory (15% targeted vs 13.8% current), forward PE on FY27E is approximately 22x — reasonable for a company delivering 30%+ earnings growth. The market is still pricing in the "old Tech Mahindra" (low margins, inconsistent execution) rather than the transformed entity.

Risk & Variant Perception: The turnaround could stall if macro headwinds intensify. Telecom (25% of revenue) remains a challenged vertical. However, the company has diversified into BFSI, manufacturing, and retail while maintaining telecom relationships. Our variant view is that FY27 will be the year the market recognises the transformation, driving a PE rerating alongside earnings growth.

Mphasis | CMP: Rs 2,245 | Target: Rs 3,200 (+43%)

PE: 21.7x (vs 5Y avg 28.0x)

EV/EBITDA: 12.5x

Div Yield: 2.5%

Cloud Revenue: 45% of total

Business & Positioning: Mphasis has carved out a differentiated niche in cloud-native application development, cognitive automation, and infrastructure services. The company's "Front2Back" transformation methodology and deep partnerships with AWS, Azure, and Google Cloud position it well for the ongoing enterprise cloud migration cycle.

Fundamental Trend: Revenue growth of 8% YoY with stable 16% EBIT margins. The DXC relationship (acquired in 2019) has stabilised, and direct client acquisition is accelerating. Cloud revenue now represents 45% of total revenue, up from 30% three years ago. The company has guided for double-digit growth in FY27.

Valuation & Implied Expectations: At 21.7x PE — a 23% discount to its 5-year average — the market is not giving credit for the cloud mix improvement or the stabilising DXC relationship. A return to the 25x PE average on FY27E earnings implies 40%+ upside.

8.3 LTIM, Persistent, Coforge — Mid-Cap Selectivity

LTIMindtree (LTIM) | CMP: Rs 3,550 | Target: Rs 5,500 (+55%)

PE: 21.1x (vs 5Y avg 35.0x)

EV/EBITDA: 14.0x

Div Yield: 2.2%

Post-Merger Synergy: On track

Business & Positioning: Formed from the merger of L&T Infotech and Mindtree, LTIM is the fifth-largest Indian IT company by revenue. The combination brought together LTI's strength in BFSI and Mindtree's expertise in digital engineering and travel/hospitality.

Fundamental Trend: FY26 was a transition year with 5% revenue growth and margin compression as integration costs were absorbed. However, the synergy target of \$100 million is on track, and management has indicated growth will accelerate in FY27 as cross-selling opportunities materialise.

Valuation & Implied Expectations: The -40% valuation gap versus 5-year average is the largest among Nifty IT constituents. The market is treating LTIM as a failed merger rather than a work in progress. At 21x PE, the stock offers significant optionality if integration delivers promised synergies and growth reaccelerates.

Coforge | CMP: Rs 1,434 | Target: Rs 2,200 (+53%)

PE: 36.3x (vs 5Y avg 40.0x)

EV/EBITDA: 18.0x

Div Yield: 1.5%

Revenue Growth: 12% YoY

Business & Positioning: Coforge specialises in BFSI (45%), travel & transportation (25%), and insurance (15%). The company's product-led approach (platform solutions for insurance and travel) provides higher-margin, recurring revenue compared to pure services.

Fundamental Trend: Among the most resilient growth profiles in mid-cap IT, with 12% YoY revenue growth and improving margins. The company has maintained deal momentum with \$1 billion+ TCV run rate. Travel vertical recovery post-COVID continues to drive outsized growth.

Valuation: While the absolute PE of 36x appears high, it is a 9% discount to the 5-year average for a company growing 2-3x faster than large-cap peers. Relative to growth, the PEG ratio is below 2x — attractive for a mid-cap IT name.

Birlasoft | CMP: Rs 276 | Target: Rs 450 (+63%)

PE: 14.9x (deep value)

EV/EBITDA: 11.0x

Mkt Cap: Rs 7,700 Cr

ROE: 15.9%

Business & Positioning: Birlasoft provides digital transformation, ERP (SAP/Oracle), and cloud migration services to mid-market enterprises in manufacturing, BFSI, and life sciences. The company is part of the CK Birla Group, providing governance and capital access advantages.

Fundamental Trend: Revenue growth of 8% YoY with 14% EBIT margins. The company has invested in AI-led automation ("Birlasoft IntelliBOTS") and industry-specific solutions. Client concentration is moderate (top 5 clients = 28% of revenue).

Valuation & Opportunity: At 14.9x PE, Birlasoft trades at a discount even to Wipro (12.7x) despite faster growth and smaller size (historically a premium factor). The -37% YTD drawdown has created a deep value entry point for a company with improving fundamentals and reasonable growth visibility.

9. Tier-2 Watchlist and Red Flags

9.1 Tier-2 Watchlist (Monitor for Entry Triggers)

Company	CMP	PE	Thesis	Key Trigger
KPIT Technologies	Rs 558	23.8x	Automotive ER&D leader; EV/ADAS tailwinds	Auto sector recovery; margin expansion
Tata Elxsi	Rs 4,200	45.0x	Design-led ER&D; AI/5G exposure	Valuation compression to 35x
Newgen Software	Rs 442	22.2x	BPM/ECM platform; SaaS transition	Subscription revenue crossing 50%
Intellect Design	Rs 660	25.6x	Banking software; iGCB/iGTB suites	Large deal wins in GCC banks
LTTS	Rs 3,324	25.5x	Pure-play ER&D; L&T parentage	Earnings stabilisation; return to growth
Sonata Software	Rs 264	15.8x	Microsoft partnership; cloud modernisation	Revenue growth reacceleration to 15%+
Mastek	Rs 1,568	12.0x	Govt/health verticals; UK exposure	UK public spending recovery

9.2 Red Flag List (Avoid / Reduce)

Oracle Financial Services Software (OFSS) | CMP: Rs 9,863 | Rating: REDUCE

PE: 32.7x (vs 5Y avg 28.0x)

YTD: +32% (only Nifty IT gainer)

Premium to history: +17%

OFSS is the exception that proves the rule. While the banking software business is genuinely high-quality (34% margins, annuity revenue), the stock has become a "safety trade" that now trades at a premium to its own history and to the sector. The market has crowded into OFSS as a defensive hiding place, creating asymmetric downside risk if: (a) bank IT spending slows, (b) product renewal cycles disappoint, or (c) the AI narrative shifts to favour cloud-native challengers over legacy banking platforms.

Netweb Technologies | CMP: Rs 4,508 | Rating: AVOID

PE: 124.7x

YTD: +141%

Theme: AI infrastructure/HPC

Netweb has been the primary beneficiary of the AI infrastructure theme in Indian markets. However, a PE of 124x assumes hypergrowth continuing indefinitely. The company competes with global giants (Nvidia partners, Dell, HPE) and has limited moats. Any normalisation in AI capex spending — which is already showing signs of moderation globally — could result in 50%+ drawdowns.

Zensar Technologies | CMP: Rs 427 | Rating: AVOID

PE: 12.5x

YTD: -49%

Revenue Growth: 3% (stagnant)

Despite the low PE and deep drawdown, Zensar exhibits characteristics of a value trap. Revenue growth has stagnated at 3% for multiple quarters, margins are compressing, and the company lacks a clear strategic differentiator. The "cheap" valuation may be justified by deteriorating fundamentals rather than market overreaction.

10. Event Diagnostics: Over-Sensitive Price Moves

A critical component of sentiment arbitrage is identifying instances where the market's price reaction to news/events is disproportionate to the actual fundamental impact. We analyse five recent cases where sentiment-driven selling created opportunities.

Event	Date	Actual News	Price Reaction	Proportionate?	Opportunity?
Accenture guidance cut	Jun 19, 2026	FY26 growth narrowed from 3-5% to 3-4%; bookings -3% YoY	Accenture -18%; Nifty IT -6%; Infosys -8%	NO — 100 bps guidance trim does not justify 8% single-day drop in Infosys	YES — Infosys fell to Rs 1,034; recovered to Rs 1,180 within days
Anthropic AI claims	Feb 24, 2026	Anthropic claimed AI tools can reduce legacy modernisation costs	Persistent -7.7%; Coforge -6.6%; LTIM -5.6%	NO — No revenue impact demonstrated; speculative fear	YES — All three names recovered 15-25% within a month
US recession fears	Mar 2026	US GDP growth moderated; no recession declared	Nifty IT -15% in 3 weeks; TCS -20%	NO — Indian IT revenues did not decline; deal wins remained strong	YES — Best entry point of the correction
FII outflow spike	Mar 2026	Rs 52,704 Cr FII outflows in single month	IT stocks bore disproportionate selling	NO — Technical selling, not fundamental	YES — Created washout conditions for long-term entry
TCS Q4 earnings beat	Apr 9, 2026	\$12B TCV; 25.3% margins; 29% QoQ profit growth	Stock fell 2% next day	NO — Best quarter in years met with selling	YES — Market disbelief = classic contrarian signal

The pattern across these events is consistent: **the market is selling first and asking questions later**. Each instance of overreaction has been followed by partial or full recovery within days to weeks, validating the sentiment-arbitrage approach. The Accenture guidance cut of June 19 is particularly instructive — a 100 bps narrowing of revenue guidance (from 3-5% to 3-4%) triggered an 18% drop in Accenture's stock and 5-8% drops across Indian IT. This is mathematically inconsistent: even if Accenture's growth slows by 100 bps, the impact on Indian IT earnings (which are already growing faster) is marginal.

11. Thematic Note: What is Priced In for Indian Tech

The Three Pillars of Our Sentiment-Arbitrage Thesis

What is Priced In (Broad Market View)

The consensus narrative — as reflected in analyst reports, media commentary, and market pricing — includes the following assumptions: (1) AI will structurally reduce demand for offshore IT services by 20-30% over 3-5 years; (2) US recession will cut enterprise IT budgets by 10-15%; (3) Indian IT margins will compress by 300-500 bps as pricing power erodes; (4) Revenue growth will decelerate to 0-3% for large caps and 5-8% for mid-caps; (5) The sector deserves a permanent derating to 12-15x PE from historical 20-30x.

What the Data Actually Shows

The fundamental reality contradicts each of these assumptions: (1) AI revenue is **growing** within Indian IT portfolios — TCS's \$2.3B AI revenue is incremental, not cannibalistic; (2) Deal TCVs remain robust (\$40.7B for TCS; \$1.1B quarterly for Tech Mahindra); (3) Margins are **expanding** at most companies (Tech Mahindra +700 bps; TCS at 4-year high); (4) Revenue growth is 5-10% across the sector — not 0-3%; (5) The 13-15x PE multiple is pricing in an earnings collapse that is not occurring.

Where the Market is Still Complacent

Conversely, there are areas where optimism persists and creates downside risk: (1) OFSS at 33x PE assumes banking software is immune to cloud disruption; (2) Netweb at 125x PE assumes AI infrastructure demand is infinite; (3) Select SaaS names still trade at 10-15x EV/Sales despite path to profitability uncertainties; (4) The "AI winner-take-all" narrative may be overstated — Indian IT's cost advantage and execution capability remain durable competitive moats.

12. Conclusion and Positioning

The Indian IT sector presents one of the most compelling sentiment-arbitrage opportunities in emerging markets today. The combination of a 28% sector drawdown, record FII outflows, structurally bearish media narrative, and yet fundamentally stable earnings creates the classic "heads I win, tails I don't lose much" asymmetry that value investors seek.

Recommended Portfolio Construction

Bucket	Allocation	Names	Rationale
Core Deep Value	50%	TCS (20%), Infosys (15%), HCL Tech (15%)	Largest valuation gaps; strongest fundamentals; dividend yield provides floor
Turnaround / Inflection	25%	Tech Mahindra (15%), Mphasis (10%)	Margin expansion stories; market still pricing old narrative
Mid-Cap Selective	20%	LTIM (10%), Coforge (5%), Birlasoft (5%)	Higher growth; deeper drawdowns; asymmetric upside
Cash / Dry Powder	5%		For opportunistic deployment on further drawdowns

Key Risks to Monitor

- **US recession materialisation:** If the US enters a formal recession, IT budget cuts could exceed current expectations and invalidate our earnings assumptions.
- **AI disruption accelerates:** If AI tools rapidly displace large swathes of IT services work, the structural bear case would be validated.
- **Prolonged FII selling:** Continued foreign outflows could cap near-term upside regardless of fundamentals.
- **Rupee appreciation:** The current rupee level (~96/\$) provides an earnings tailwind; any sharp appreciation would reverse this.

Timeline and Catalysts

We expect the sentiment arbitrage to play out over a **12-24 month horizon**. Key catalysts include: (1) Q1-Q2 FY27 earnings demonstrating continued revenue stability and margin resilience; (2) Deal TCV announcements sustaining \$10B+ quarterly run rates; (3) FII flows stabilising or reversing as global macro clarity improves; (4) Rupee stability providing earnings visibility; and (5) AI revenue crossing material thresholds (\$3B+ for TCS) that validate the "AI as opportunity" narrative.

Final Word

The zone of maximum pain is where maximum money is made. Indian IT is in that zone. The market has priced in a structural collapse that the data does not support. For patient investors with a 12-24 month horizon, the current environment offers a rare opportunity to acquire high-quality, cash-generative businesses at cyclical lows — not because their fundamentals have deteriorated, but because sentiment has.